# WRITTEN TESTIMONY OF THE DIRECTOR OF THE ARDEN STATE ENERGY OFFICE

Submitted to the Senate Committee on Energy and Environment, 26 March 2025

This office takes no position on the bill. The Committee has asked for the data this office holds and the limits of it.

## 1. IN-STATE SALES

Gross receipts of all sellers of fossil fuel products in Arden, most recent completed fiscal year: $4,100 million. The five-year series is annexed. The series is compiled from seller returns on Form SE-4 and is exclusive of state fuel tax.

## 2. REPORTING FLOOR

Sellers with in-state receipts below $25 million are not required to file item detail and are aggregated. The aggregated group has fallen from 286 sellers to 149 over the period, and its share of receipts has fallen with it. The Committee should be aware that comparisons across years are affected by this consolidation.

## 3. PRODUCT MIX

This office records product mix by seller. There are no registered coal sales in Arden and no coal-fired generating units. Mix figures are annexed by seller.

## 4. WHAT THIS OFFICE CANNOT SUPPLY

This office does not hold the total revenue of any seller, nor its revenue from sales outside Arden. The definition in section 7-019(k) turns on both. The Committee will need those figures from the sellers themselves.

## 5. EMISSION FACTORS

Conversion of sales to carbon dioxide equivalent is a matter for the Environmental Quality Board. This office has supplied the Board with volume data and takes no position on the factors adopted.

## 6. THE REPORTING FLOOR AND WHAT IT HIDES

Sellers below the floor file a summary return without item detail. That group has shrunk from 286 sellers to 149 over the series and its aggregate receipts have shrunk more slowly, because the sellers acquired were on average the smaller of the group. The consequence for any user comparing one year with the five-year period is that the group’s share of receipts is materially lower in the most recent year than across the period as a whole. This office has published an occasional paper on the point. It is a feature of the data and not of the market.

## 7. PRODUCT MIX AND COAL

This office records product mix by seller from the returns. There are no registered coal sales in Arden in any year of the series, there are no coal-fired generating units in the State, and the port authority’s commodity schedule does not include coal. The Committee has asked before whether coal moves through Arden in transit; it does not.

## 8. WHAT THIS OFFICE CANNOT SUPPLY, IN DETAIL

This office does not hold: the total revenue of any seller; the revenue of any seller from sales outside Arden; the corporate structure of any seller, including whether two filers are affiliates; or the price at which any seller acquired the product it sold. The definition in section 7-019(k) turns on the first two of these. The Committee will need them from the sellers, and it should expect the figures to be certified rather than audited: this office has no examination power over a seller's consolidated accounts.

## 9. A CAUTION ON THE RETURNS AS EVIDENCE

Returns are self-reported and are accepted as filed. This office audits on a sample basis for fuel tax purposes only; 12 audits were completed last year, of which 1 resulted in an adjustment. An adjustment of receipts for tax purposes is not carried back into this series, which is published as filed.

*Annexes: five-year sales series; sales by seller; product mix by seller.*